

PREDICTED PAPER – MODERATE

ECONOMICS – A level component 2**Exploring Economic Behaviour**

2 hours 30 minutes

A520U201
01**ADDITIONAL MATERIALS**

A calculator.

A WJEC pink 16-page answer booklet.

INSTRUCTIONS TO CANDIDATES

Use black ink or black ball-point pen. Do not use gel pen or correction fluid.

You may use a pencil for graphs and diagrams only.

Answer **all** questions.

Write your answers in the separate answer booklet provided, following the instructions on the front of the answer booklet.

Use both sides of the paper. Write only within the white areas of the booklet.

Write the question number in the two boxes in the left-hand margin at the start of each answer, for example

1	1
---	---

Leave at least two line spaces between each answer.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets at the end of each question or part-question.

You are reminded of the necessity for good English and orderly presentation in your answers.

Answer **all** questions.

Things can only get better?

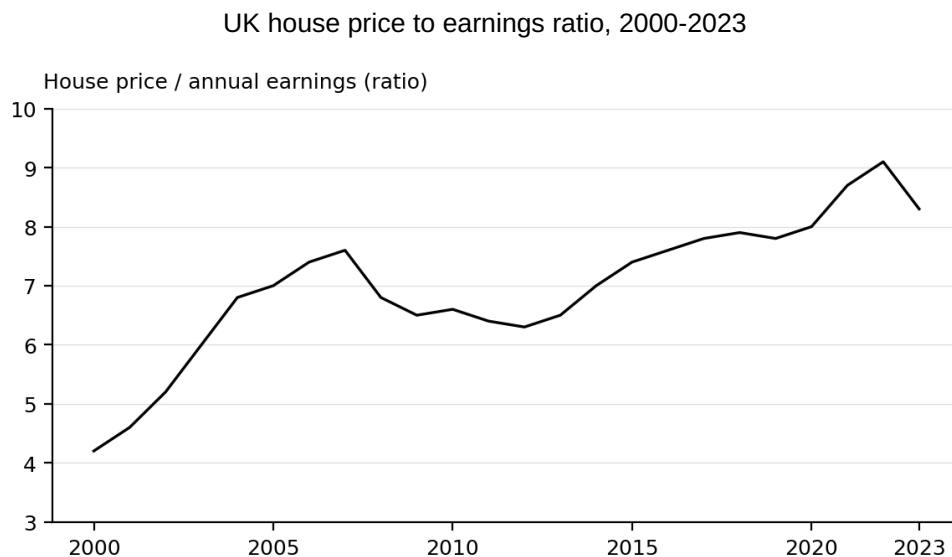
In recent years, the UK housing market has come to symbolise some of the deepest tensions in the modern UK economy. Average house prices have risen faster than earnings for much of the past two decades, locking younger households out of ownership, widening regional wealth gaps, and reshaping patterns of consumption, saving and political debate.

In 2023 the Government renewed its commitment to deliver 300,000 new homes per year across the UK, supported by infrastructure investment, planning reform and targeted subsidies for first-time buyers. Yet completions have repeatedly fallen short of that target.

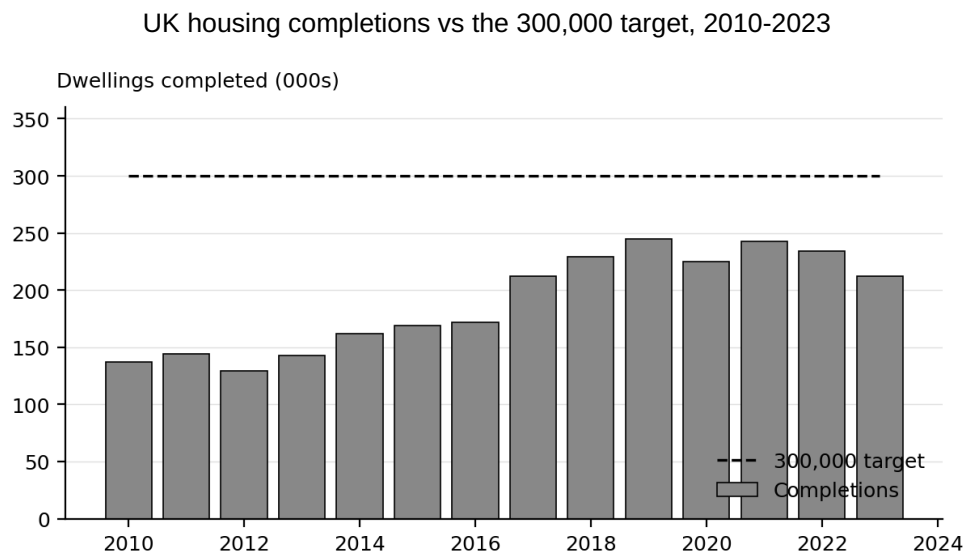
Affordability and prices

The ratio of average house prices to average earnings has roughly doubled since 2000 (**Figure 1**).

Figure 1



Meanwhile housing completions have been well below the level the Government and most independent analysts agree is needed to bring prices into line with earnings (**Figure 2**).

Figure 2

Ownership, renting and generational divides

Home-ownership rates among younger households have fallen sharply since the 1990s (**Figure 3**). At the same time, the share of households renting privately has risen (**Figure 4**).

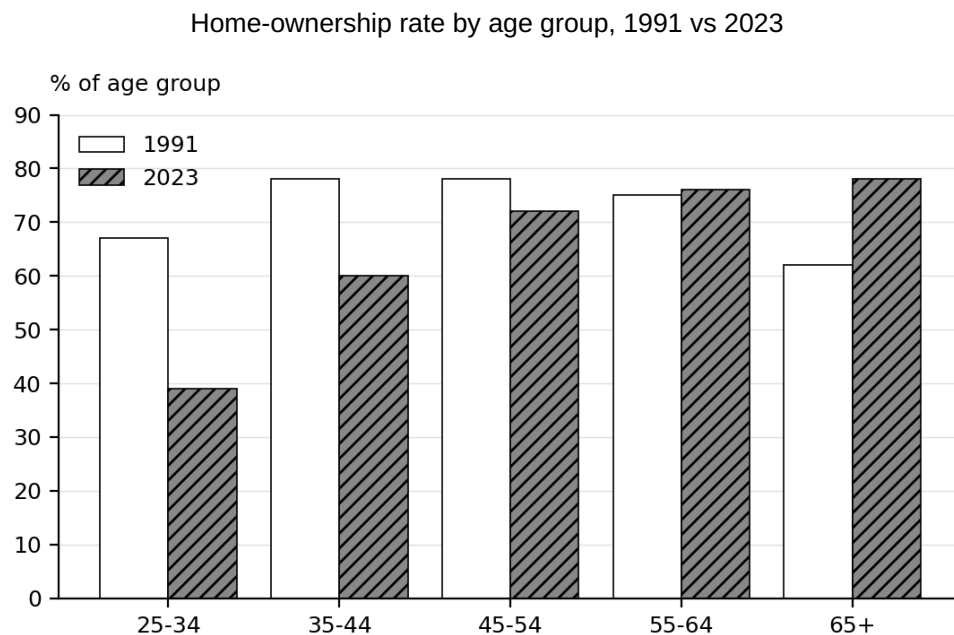
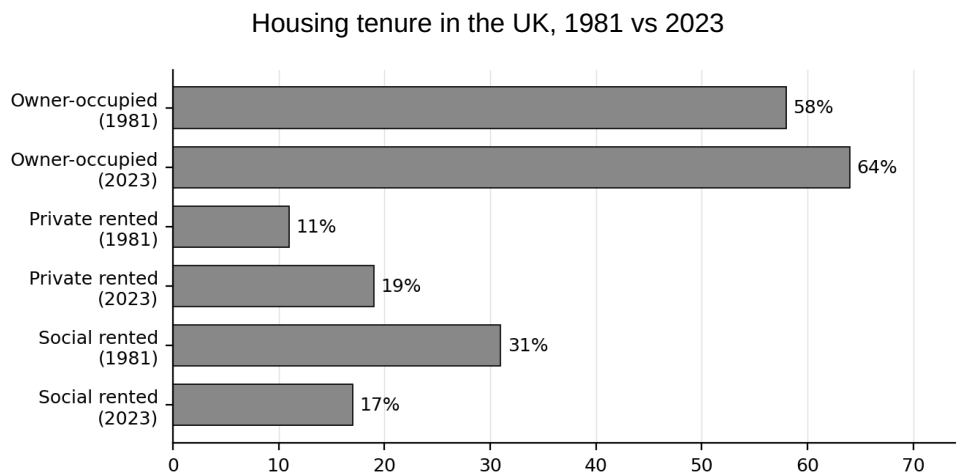
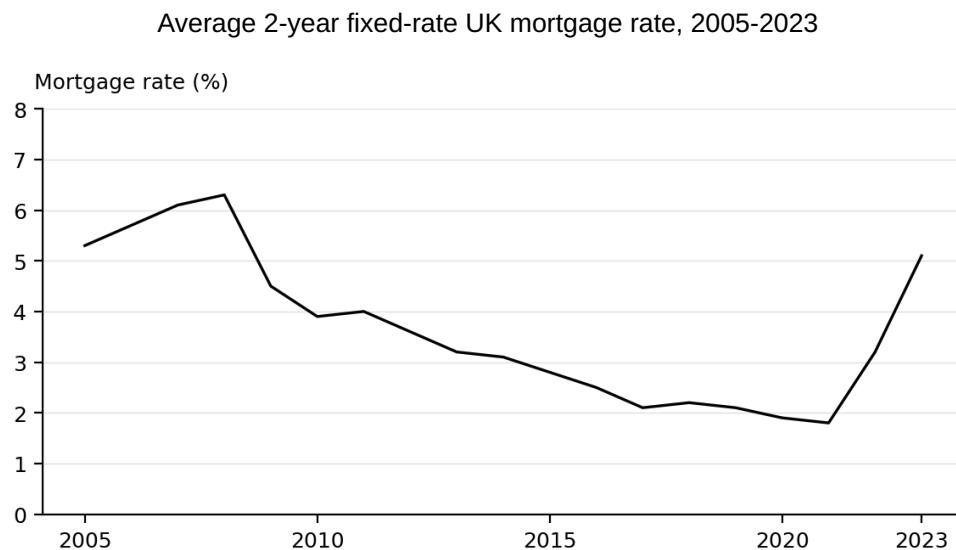
Figure 3

Figure 4

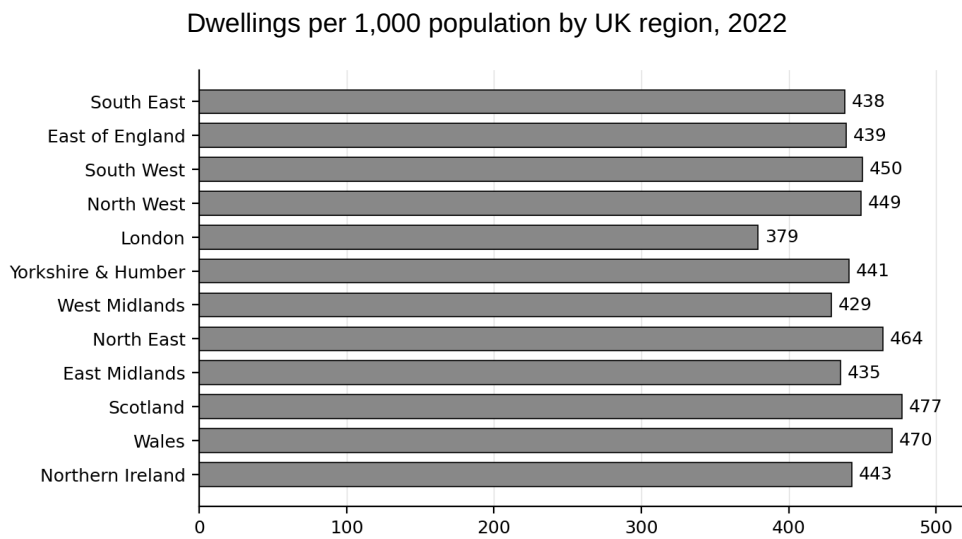
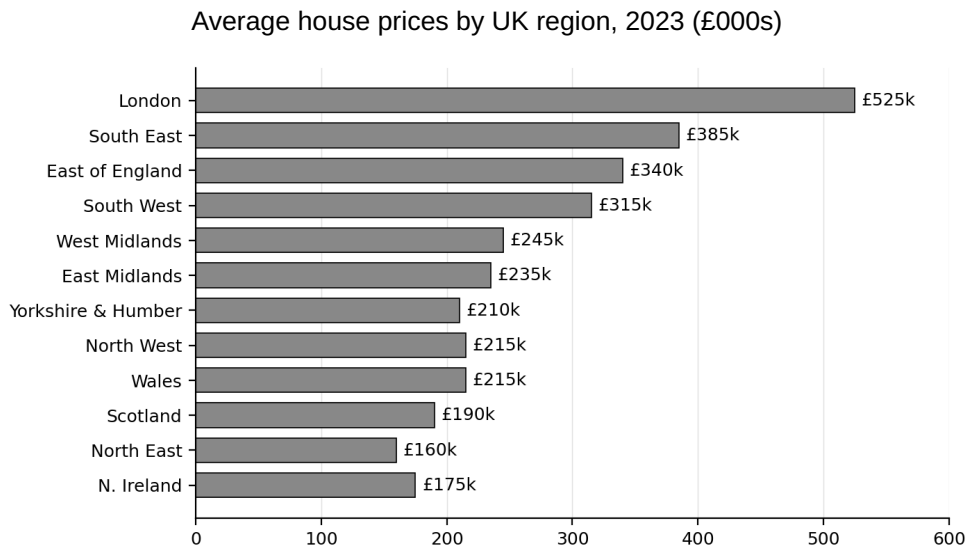
The role of mortgage rates

Mortgage rates fell steadily from the late 2000s, supporting higher house prices by reducing the monthly cost of borrowing. That pattern reversed sharply in 2022-23 as the Bank of England raised Bank Rate to combat inflation (**Figure 5**).

Figure 5

Regional patterns

The UK's housing stock is not distributed evenly across regions. Some regions have a relatively low number of dwellings per head of population; London stands out as having the fewest (**Figure 6**). Prices vary even more dramatically (**Figure 7**): an average home in London is more than three times the price of one in the North East.

Figure 6**Figure 7**

The Government's housing strategy

The Government has set out a comprehensive housing strategy with the stated aim of improving both affordability and supply. The key elements of the plan are summarised in **Figure 8**.

The UK Government's housing strategy	
Supply	300,000 new homes per year target, with a £11.5 billion Affordable Homes Programme (2021-26). Planning reform to speed up local-authority decisions and bring more land forward for development.
Demand support	Stamp Duty nil-rate band raised to £250,000 (£425,000 for first-time buyers). Mortgage Guarantee Scheme providing lender guarantees on 95% mortgages.

Regional rebalancing	Levelling-Up Fund and Towns Fund investing in brownfield sites outside London and the South East. Freeports and Investment Zones offering planning flexibility and tax incentives.
Renters	Renters Reform Bill abolishing no-fault evictions and introducing a Decent Homes Standard for the private rented sector.

Sources: ONS, Bank of England, MHCLG, HM Treasury.

1	1	Using the data, explain why house prices have risen faster than earnings in the UK since 2000 (Figure 1).	[5]
1	2	Using the data, explain why the UK Government might want to increase the supply of housing in the UK.	[5]
1	3	How effective is the UK Government's housing strategy (Figure 8) likely to be in improving housing affordability?	[10]
1	4	Using the data, discuss the extent to which the rise in mortgage rates since 2022 (Figure 5) will affect the UK housing market.	[10]
1	5	Using the data, discuss whether falling home-ownership rates among younger households (Figure 3) are likely to widen UK regional inequalities.	[10]

Long live oligopolistic competition!

The UK grocery market is worth around £220 billion a year and is dominated by four large supermarket chains: Tesco, Sainsbury's, Asda and Morrisons. Together they account for around two-thirds of all grocery sales. In recent years, German discount chains Aldi and Lidl have rapidly expanded their market share, while premium grocers Waitrose and Marks & Spencer occupy a smaller but distinctive niche. The market displays many of the classic features of an oligopoly.

Figure 1

UK grocery market: market shares and key facts (2023)

The UK grocery market in 2023		
Tesco: 27.5% The market leader since the 1990s. Operates around 4,000 stores. Launched Clubcard Prices in 2020 - lower shelf prices for loyalty-card holders.	Sainsbury's: 15.1% Operates around 1,400 stores. Runs the Nectar loyalty programme. Owns Argos and the Habitat brand. Launched Nectar Prices in 2023.	Asda: 13.6% Acquired by the Issa Brothers and TDR Capital in 2021. Best known for "Every Day Low Pricing" strategy.
Morrisons: 8.7% Strong presence in Yorkshire and the North. Vertically integrated, with its own farms and manufacturing.	Aldi: 10.4% Discount chain with a limited-range, high-turnover model. Grew share from 3% in 2010. Price Match pressure on Big Four.	Lidl: 7.9% Second major discounter. Operates around 960 UK stores. Aggressive expansion plan announced in 2023.
Others: 16.8% - Waitrose (4.5%), Co-op (5.7%), M&S Food (3.7%), Iceland and others.		

Competition between these firms is intense but largely non-price in nature. The Big Four supermarkets respond quickly to each other's promotions, launch continuous range innovations, and increasingly compete on convenience (small-format stores, online delivery slots, rapid-delivery partnerships). Loyalty pricing schemes such as Clubcard Prices and Nectar Prices have, according to critics, introduced a form of two-tier pricing that may obscure underlying prices from non-members.

The Competition and Markets Authority (CMA) has opened several investigations into the sector, including into loyalty pricing practices in 2023 and into supplier relations in 2024. Most recent mergers have been blocked or required significant divestments - for example, the 2019 Sainsbury's-Asda merger proposal was rejected on the grounds that it would harm consumers.

The data below (**Figure 2**) shows the weekly demand at different prices for a ready-meal lasagne produced by FreshMart Ltd, an oligopolistic supermarket.

Figure 2

FreshMart Ltd: Demand and cost schedule for lasagne (£)

Price	Lasagne/week (000s)	Total Revenue	Marginal Revenue	Total Cost	Marginal Cost
£8	0			£ 200	

Price	Lasagne/week (000s)	Total Revenue	Marginal Revenue	Total Cost	Marginal Cost
£7	10			£ 300	
£6	20			£ 380	
£5	30			£ 450	
£4	40			£ 540	
£3	50			£ 660	
£2	60			£ 820	
£1	70			£1,050	
£0.50	80			£1,380	

Many supermarkets also face significant upward pressure on their costs. Energy, labour and freight costs rose sharply between 2021 and 2023, squeezing operating margins. At the same time, the expansion of Aldi and Lidl has put downward pressure on prices. Supermarkets have responded with cost-cutting programmes, automation of checkouts and warehouses, and the rollout of private-label products which typically carry lower costs than branded alternatives.

Is the UK grocery market serving consumers well? Supporters of the current structure argue that competition between a handful of large chains, supplemented by fast-growing discounters, is delivering choice and value. Critics point to the CMA's investigations, the high profits earned by leading firms at the peak of the 2022 cost-of-living crisis, and the long-standing concerns about pressure placed on suppliers - farmers in particular - as evidence that the market is not as competitive as it appears.

Sources: Kantar Worldpanel; CMA.

2	1	Using the information provided on the UK grocery market, outline the characteristics of an oligopolistic industry.	[5]
2	2	Using Figure 2 , calculate the marginal revenue (MR) and marginal cost (MC) for each of the output levels (lasagne/week) from 0 to 80,000. Record the answers in your pink answer booklet. Using your answers explain at what level of output FreshMart Ltd will, in theory, maximise profits.	[7]
2	3	Using a costs and revenue diagram, evaluate the effects on a supermarket's abnormal profits of the expansion of Aldi and Lidl.	[10]
2	4	Evaluate the view that loyalty-pricing schemes such as Clubcard Prices and Nectar Prices are harmful to consumers in the UK grocery market.	[7]
2	5	With reference to the data, discuss the extent to which the UK grocery market leads to a reduction of economic welfare.	[11]

END OF PAPER